**Results of Operations**

Historically, revenues and earnings may or may not be representative of future operating results due to various economic and other factors. The following table sets forth the Consolidated Statements of Operations for the periods indicated (amounts in thousands):

| | Fiscal Years Ended March 31, | | |
|---|---|---|---|
| | 2019 | 2018 | 2017 |
| Net sales [1] | $ 1,382,818 | $ 1,200,181 | $ 757,338 |
| Operating costs and expenses: | | | |
| Cost of sales [1] | 924,276 | 860,744 | 571,944 |
| Selling, general and administrative expenses | 202,642 | 173,620 | 107,658 |
| Research and development [1] | 44,612 | 39,114 | 26,693 |
| Restructuring charges | 8,779 | 14,843 | 5,404 |
| (Gain) loss on write down and disposal of long-lived assets | 1,660 | (992) | 10,671 |
| Total operating costs and expenses | 1,181,969 | 1,087,329 | 722,370 |
| Operating income [1] | 200,849 | 112,852 | 34,968 |
| Non-operating (income) expense: | | | |
| Interest income | (2,035) | (809) | (24) |
| Interest expense | 21,239 | 32,882 | 39,755 |
| Acquisition (gain) loss | — | (130,880) | — |
| Change in value of TOKIN options | — | — | (10,700) |
| Other (income) expense, net [1] | 11,214 | 24,592 | (3,871) |
| Income before income taxes and equity income (loss) from equity method investments [1] | 170,431 | 187,067 | 9,808 |
| Income tax expense (benefit) [1] | (39,460) | 9,132 | 4,294 |
| Income before equity income (loss) from equity method investments [1] | 209,891 | 177,935 | 5,514 |
| Equity income (loss) from equity method investments | (3,304) | 76,192 | 41,643 |
| Net income [1] | $ 206,587 | $ 254,127 | $ 47,157 |

[1] *Fiscal years ended March 31, 2018 and 2017 adjusted due to the adoption of ASC 606.*

**Consolidated Comparison of Fiscal Year 2019 to Fiscal Year 2018**

*Net Sales*

Net sales of $1.4 billion in fiscal year 2019 increased 15.2% from $1.2 billion in fiscal year 2018 primarily due to an increased in Solid Capacitor net sales $164.6 million. In addition, Film and Electrolytic net sales increased by $4.3 million, and MSA net sales increased by $13.8 million.

The increase in Solid Capacitors net sales was primarily driven by a $111.8 million increase in distributor sales across the Americas, APAC, and EMEA regions. The $111.8 million increase consisted of a $72.8 million increase in Ceramic product line sales and a $39.0 million increase in Tantalum product line sales. Also contributing to the increase in net sales was a $30.6 million increase in OEM sales across the APAC, EMEA, and JPKO regions, and a $28.0 million increase in EMS sales across all regions. These increases in net sales were partially offset by a $3.2 million decrease in distributor sales in the JPKO region and a $2.7 million decrease in OEM sales in the Americas region. In addition, Solid Capacitors net sales was unfavorably impacted by $0.5 million from foreign currency exchange due to the change in the value of the Euro compared to the U.S. dollar.

The increase in Film and Electrolytic net sales was primarily driven by a $10.5 million increase in distributor sales across the Americas and EMEA regions. Also contributing to the increase in net sales was $1.7 million increase in EMS sales in the Americas region and a $0.8 million increase in OEM sales in the JPKO region. These increases in net sales were partially offset by a $5.6 million decrease in OEM sales across the APAC and EMEA regions and a $3.1 million decrease in distributor sales across the APAC and JPKO regions. In addition, there was an unfavorable impact of $0.1 million from foreign currency exchange primarily due to the change in the value of the Euro compared to the U.S. dollar.